**Code No: 134AG** **R16**

**JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD**
**B. Tech II Year II Semester Examinations, April/May-2023**
**BUSINESS ECONOMICS AND FINANCIAL ANALYSIS**
**(Common to CE, EEE, ME, ECE, CSE, EIE, IT, ETM, MMT, AE, MIE, PTM)**

**Time: 3 Hours** **Max. Marks: 75**

**Note:** i) Question paper consists of Part A, Part B.
ii) Part A is compulsory, which carries 25 marks. In Part A, answer all questions.
iii) In Part B, Answer any one question from each unit. Each question carries 10 marks and may have a, b as sub questions.

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## PART – A

**(25 Marks)**

1.a) What is inflation? Distinguish between demand-pull and cost-push inflation. [2]
b) Discuss the merits and demerits of sole proprietorship. [3]
c) Differentiate between movement along a demand curve and shift in the demand curve. [2]
d) Explain, briefly, the survey method of demand forecasting. [3]
e) Define the following: i) Production function ii) Isoquant. [2]
f) Explain the ways by which P/V ratio can be improved. [3]
g) What is accounting period concept? What is its significance? [2]
h) What are the limitations of Financial Statements? Explain them briefly. [3]
i) Distinguish between fund flow analysis and cash flow analysis. [2]
j) Explain the merits of ratio analysis as a tool for interpretation of financial statements. [3]

## PART – B

**(50 Marks)**

2. What are the major sources of funding for a company? Discuss the advantages and disadvantages in each case. [10]

**OR**

3.a) What are business cycles? What are their various phases?
b) Discuss the effects of business cycles and the measures to be initiated at the firm level and government level to control business cycles. [5+5]

4. The demand function for a firm is estimated as: Q=55-0.5 P
(where P=Price and Q=Rate of output) and the total cost function TC=20 + Q+ $0.2Q^2$ where TC=Total cost, determine:
a) The total revenue function of the firm.
b) The marginal revenue and marginal cost functions and find the rate of output for which marginal revenue equals marginal cost.
c) An equation for profit and the level of output that maximizes total profit. [10]

**OR**

5.a) The price of a commodity X falls from Rs.5 per kg to Rs.4 per kg and quantity demanded by consumer A increases from 4kg to 6 kg. Comment on the nature of demand for commodity X in this case.
b) What would you say about the price-elasticity of commodity X, if the quantity demanded remains unchanged?
c) Discuss the smoothing techniques of demand forecasting. [4+3+3]

6.a) Distinguish between fixed and variable costs.

b) Discuss the characteristics of long run costs.

c) On the basis of the following cost function:

$TC=250Q-10Q^2+2Q^3$ Estimate TC, MC and AC if the output is 200 units. [3+3+4]

**OR**

7.a) What are the features of monopolistic competition.

b) Explain the differences between monopolistic competition and perfect competition. [4+6]

8. Record the following transactions in the Journal of Hyderabad furniture mart. [10]

| | | |
|---|---|---|
| 2023 January | 1 | Started business with cash Rs.10, 000. |
| January | 2 | Deposited into bank Rs.9, 000. |
| January | 3 | Purchased machinery for Rs. 5,000 from Jatin and gave him a cheque for the amount. |
| January | 15 | Paid installation charges of machinery Rs.100. |
| January | 20 | Purchased timber from Navin of the list price of Rs.2, 000.He allowed 10% Trade Discount. |
| January | 23 | Furniture costing Rs.500 was used in furnishing the office. |
| January | 25 | Sold furniture to Naresh of the list price pf Rs. 1,000 and allowed him 5% Trade Discount. |
| January | 28 | Received a cheque from Naresh for Rs.930 in full settlement and sent the cheque to the bank. |
| January | 29 | Sent to Navin in full settlement a cheque for Rs.1, 750. |
| January | 31 | Paid wages Rs.250 and rent Rs.200. |

**OR**

9. The following is the trial balance of Mr Sivaram on 31st March, 2022:

| | Debit(Rs.) | Credit(Rs.) |
|---|---|---|
| Opening stock | 4,500 | |
| Purchases | 26,000 | |
| Wages | 2,500 | |
| Salaries | 2,000 | |
| Postage | 200 | |
| Drawings | 2,800 | |
| Debtors | 2,000 | |
| Buildings | 7,300 | |
| Furniture | 4,200 | |
| Sales | | 31,000 |
| Capital | | 16,500 |
| Creditors | | 3,500 |
| Interest received | | 500 |
| | 51,500 | 51,500 |

Considering the following adjustments, prepare Trading and Profit & Loss Account for the year ended 31st March, 2022 and a Balance sheet as on that date.

a) Closing stock was valued at Rs.10, 000.

b) Wages were outstanding to the tune of Rs.500.

c) Interest received in advance amounted to Rs.150 out of the given balance. [10]

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10.a) On the basis of the following information calculate:
i) Gross Profit ratio
ii) Debt Equity ratio
iii)Working Capital turnover ratio.

| | **Rs.** | | **Rs.** |
|---|---|---|---|
| Net sales | 30,00,000 | Paid up share capital | 5,00,000 |
| Cost of goods sold | 20,00,000 | Debentures | 2,50,000 |
| Current Assets | 6,00,000 | Loans | 1,25,000 |
| Current Liabilities | 2,00,000 | | |

b) Calculate Interest coverage ratio from the following information: [5+5]

| | Rs. In '000s |
|---|---|
| Sales revenue | 10,000 |
| Cost of goods sold | 500 |
| Gross Profit | 9,500 |
| **Total expenses** | |
| Salaries | 120 |
| Rent | 500 |
| Utilities | 200 |
| Depreciation | 100 |
| **Operating profit(EBIT)** | 8,580 |
| Interest expense | 3,000 |
| **Earnings before taxes(EBT)** | 5,580 |
| Taxes | 1,116 |
| **Net Income** | 4,464 |

**OR**

11.a) Classify the following into cash flows(inflow/outflow) from operating activities, investing activities and financing activities.
i) Cash sale of goods
ii) Cash payments of salaries and wages to employees
iii) Cash paid to suppliers of raw materials
iv) Cash payment to acquire fixed assets
v) Cash proceeds from issues of shares at a premium
vi) Payment of dividend
vii) Interest received on investment
viii) Interest on debenture
ix) Payment of income tax
x) Cash payment of a long term loan.

b) Is depreciation a source of funds? Explain. [5+5]

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